Characteristics Before First Qualifying Big 4 Entry

Relative year	Future Big 4 entrants	Always non-Big 4	Entrants
Any failure			
-3	3.43	6.15	204
-2	3.92	6.61	204
-1	4.90	7.12	204
Restatement			
-3	1.47	2.37	204
-2	1.47	2.69	204
-1	3.43	2.92	204
Violation			
-3	1.96	4.79	204
-2	2.45	5.09	204
-1	1.96	5.45	204
Loss			
-3	8.37	11.32	203
-2	8.87	12.05	203
-1	9.36	12.83	203
Size (log assets)			
-3	22.40	21.41	203
-2	22.55	21.49	203
-1	22.77	21.55	203
Operating cash flow / assets			
-3	5.91	4.03	199
-2	6.04	4.44	199
-1	5.99	4.31	199

Notes: Pre-entry group means; rates and CFO in percent.